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A GUIDE TO THE OHIO **CONTROLLING BOARD**

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WHY A CONTROLLING BOARD?

The Ohio Constitution invests in the legislature the power to make appropriations, and acts of the legislature are required before dollars can be spent. Appropriations (i.e., authorization to spend money) are made to agencies through appropriation line items (ALIs) from specific funds. While appropriations acts prescribe the spending activities of state government, there inevitably arises circumstances that merit budget modifications.

The need for the Executive Branch to be able to propose and obtain adjustments to appropriations is legitimate and often necessary. The Controlling Board provides a mechanism for handling necessary adjustments to budgetary authority of state agencies in appropriations acts without requiring involvement by the entire legislature.

These adjustments can vary from adjusting appropriation authority between fiscal years to creating new authority for unappropriated funds. Additionally, it serves as a mechanism to waive standard competitive bidding requirements when they cannot be followed.

Controlling Board Authority and its Context

Most of the powers and duties of the Controlling Board (the Board) are enumerated in Chapter 127 of the Ohio Revised Code (R.C.). However, the Board's powers and responsibilities are found in various places in both codified and uncoded law. This guidance document focuses on the major responsibilities of the Board and detail regarding the circumstances requiring Controlling Board review.

The Board is created in R.C. 127.12, which also explicitly prohibits the Board

from taking any action that does not carry out the legislative intent of the General Assembly regarding program goals and levels of support of state agencies.

The Board considers approximately 2,000 to 2,500 requests each fiscal year, operating in three key areas of state government:

1. Fiscal and Budgetary;
2. Purchasing; and
3. Limited Legislative Oversight

State Finances and the Budget Process

From an operational perspective, a budget is a plan for spending available state revenues and is passed by the General Assembly through acts containing appropriations. The Ohio Constitution prohibits the General Assembly from making appropriations that last more than two years. Consequently, state agencies are prohibited from obligating appropriations beyond the fiscal biennium. Accordingly, Controlling Board action is also confined by the two-year (biennial) limitation.

The Main Operating Budget

The main operating budget is typically enacted at the end of June in odd-numbered years after an executive preparation and legislative approval process that takes place over the better part of a year.

An operating budget typically contains two columns of numbers, one for the first year of the biennium and one for the second year.

In enacting and amending statutes that authorize the Board's powers, the General Assembly often delegates to the Board the power to make relatively minor adjustments to the enacted operating budget. Board actions related to the operating budget in Ohio law include, but are not limited to:

- Transferring appropriations between line items or fiscal years (R.C. 127.14(A) and (B))
- Increasing appropriation authority based on available fund balances in certain funds (R.C. 131.35 and 127.14(D))
- Providing additional resources to an agency in emergency situations through the Board's Emergency Purposes Fund (R.C. 127.14(E))
- Approving transfers of cash between funds (found throughout codified and uncoded law)
- Creating new funds and establishing appropriation authority in new line items (R.C. 131.35)

The Capital Budget

The capital budget is typically enacted in even-numbered years and is also made for a two-year biennium. However, one key distinction from the operating budget is that the appropriations included in the capital budget are made by fund, by line item and effective for the entire two-year period. Unobligated balances from previous capital appropriations acts are also generally reappropriated through either the capital budget or a separate "reappropriations act" of the General Assembly.

Controlling Board actions facilitate some of the same types of adjustments to capital budgets as are available for operating budgets. Additionally, the Controlling Board must release funds for capital construction. Controlling Board actions for capital budgets include:

- Transferring capital appropriations between line items or fiscal years
- Releasing capital appropriations for construction-related projects and in some cases for the acquisition of real estate

State Purchasing (Waiver of Competitive Selection or Agency Released Competitive Opportunity)

Generally, with the exception of relatively small purchases of supplies and services (under \$50,000) and other specifically exempted purchases, state agencies are required to make purchases using the competitive selection provisions of state law through the Department of Administrative Services (DAS) (generally, R.C. Chapter 125). However, certain provisions of law (generally, R.C. 127.16 and 127.162) authorize the Controlling Board to waive these statutory competitive selection requirements or approve an agency's use of other competitive procurement processes without DAS. The use of other competitive processes is strongly encouraged, and in all cases agencies are encouraged to get the best quality for the best price.

Other Legislative Oversight

The areas previously discussed include elements of legislative oversight of Executive Branch actions. In addition to those areas, the Controlling Board exercises legislative oversight in a variety of areas. The following is a list of some of the major types of oversight exercised by the Board:

Approval of land purchases by institutions of higher education (R.C. 3333.071)

Approval of operating loans sought by school districts (R.C. 3316.20)

Transfers of appropriations to accommodate a reorganization of government or the abolition of a state agency (R.C. 127.14(C))

Approval of fee increases requested by certain regulatory boards and commissions (various provisions in R.C. Title 47)

Approval of certain grants and loans made by the Department of Development

Approval of certain subsidy distributions as required by law

Approval of any advertising purchased with public money by a state official (R.C. 125.051)

WHAT IS THE CONTROLLING BOARD?

R.C. 127.12 establishes the Controlling Board (the “Controlling Board” or “Board”). The Board consists of seven members: The Director of OBM or his or her designee, the Chairpersons or Vice-Chairpersons of the Senate and House Finance committees, and a majority member and minority member from both the Senate and the House designated by the Speaker of the House and Senate President.

WHO IS THE PRESIDENT?

R.C. 127.13 provides that the Director of Office of Budget and Management (OBM) or his or her designee serves as President of the Controlling Board. The President chairs the Board meetings and determines which requests are presented to the Board for consideration. The President is required to publish the proposed agenda and provide all supporting documentation relative to matters before the Board to its members and the Legislative Service Commission (LSC) at least seven days prior to the meeting.

WHO IS THE SECRETARY?

R.C. 127.13 also provides that the Director of OBM must designate an employee of OBM to serve as Secretary of the Board. This person has the duties of assisting the President, keeping records of each request and the Board’s disposition of that request, and certifying to each Board member and the Director of OBM the record of the Board’s actions. The Secretary works with the President, OBM staff, and state agency representatives to coordinate the review of all requests. Any questions or issues involving forms, Controlling Board procedures, revising requests, or obtaining copies of requests or agendas should be first directed to the Secretary.



When Does the Board Meet and What Happens?

The Board is required by R.C. 127.13 to **meet at least once a month**, but generally meets twice a month. Meetings are typically held every other Monday throughout the year with limited exceptions. The schedule of meeting dates is published each November for the next calendar year and is available on the e-Controlling Board website. Because the Controlling Board calendar may deviate from time to time due to state holidays, it is essential to consult the published Controlling Board schedule to determine the exact meeting dates and submission deadlines.

Typically, regularly scheduled Controlling Board meetings are held in the **North Hearing Room of the Statehouse Senate Office Building and begin at 1:30 p.m.** Pursuant to R.C. 127.13, the Board is authorized to adopt procedural rules for the conduct of its meetings and may approve, disapprove, modify the dollar amount, or defer any request that comes before it. In addition, the Board may require that certain matters are added to its agenda. Approval of a request by the Board requires at least four affirmative votes.

Who Else is Involved in the Work of the Controlling Board?

Controlling Board requests are prepared by state agencies. Agency staff are responsible for responding to any requests for information made by OBM, usually prior to a Board meeting, as well as explaining their requests and answering any Board members' questions. Agencies that bring large numbers of requests to the Board typically have individuals exclusively assigned to work on Board business. Requests made by agencies that submit requests less frequently are generally handled by an agency's fiscal office.

OBM Budget and Debt Analysts

OBM Budget Analysts provide fiscal and policy analysis of Controlling Board requests to the President. When setting the Board's agenda, the President relies on the knowledge and insights of the analysts to determine whether a request is appropriate and whether revisions or refinements are required. Analysts review all Controlling Board requests for substantive issues and work with agencies to ensure that the intent and impact of the requests are clearly stated. Additionally, OBM Debt Analysts review and approve requests involving capital appropriations. Analysts may consult the legal, accounting, and financial divisions within OBM in order to facilitate the review of requests. Agencies are encouraged to maintain good communications with their OBM Budget Analysts regarding all fiscal issues. Agency staff preparing requests should contact their Budget Analysts with questions or issues they might have, especially regarding policy considerations and fiscal or financial implications.

The Role of the Legislative Service Commission and Legislative Staff

Six of the seven Board members are legislators. They require assistance in analyzing and understanding items on the agenda. The staff of LSC reviews agency requests to ensure that the agency's request meets the legislative intent for program goals and support levels set forth by the General Assembly in appropriations acts, in accordance with R.C. 127.17. This review also includes ensuring that the agency is in compliance with Controlling Board regulations and procedures. Generally, House and Senate aides to the Controlling Board members review the requests concurrently with LSC. The LSC staff may provide written comments, referred to as "green sheets," on certain requests. The comments summarize complex or precedent-setting items, analyze substantive concerns about a request, or provide additional information to the Board members.

OBM Financial Support Services

Prior to Controlling Board approval, all supplier information relating to a forthcoming Controlling Board request should be processed through the OhioPays portal and accepted by the Ohio Administrative Knowledge System (OAKS). For assistance, when providing a supplier's federal tax identification information, contact the Supplier Operations section within OBM Financial Support Services. Upon Controlling Board approval, OBM Financial Support Services reviews financial information and enters it into OAKS.

In addition to working with the agency's assigned OBM Budget Analyst, technical questions regarding requests involving appropriations (such as releases, transfers, and fund creations) should be directed to OBM Financial Support Services. Questions regarding encumbering funds for requests involving waivers of competitive selection or agency released competitive opportunities, or changes in supplier or supplier numbers on Controlling Board requests should also be directed to OBM Financial Support Services.

Director of OBM

While the Director of the OBM or the Director's designee is the President of the Board, certain provisions of law permit to the Director certain duties that might otherwise fall to the Board. For instance, the Director may approve the release of capital funds appropriated for "specific projects" pursuant to R.C. 126.14.

Procurement Services Offered by DAS

Various divisions of the DAS, General Services Division, play a part in the agency procurement process. The involvement of the Office of Procurement Services (OPS) and the Office of Real Estate and Planning is required in a variety of situations related to the Controlling Board. Agencies that are subject to the oversight of DAS for purchasing should be aware of any DAS policies and requirements before submitting a Controlling Board request or making a purchase.

Specifically, a release and permit from DAS is often required for those agencies to purchase supplies and services. OPS is involved in most major purchasing processes for supplies and services and must grant a release and permit to an agency before an agency may request a waiver of competitive selection or an agency released competitive opportunity from the Board.

Ohio Facilities Construction Commission

The Ohio Facilities Construction Commission (OFCC) is involved in the selection of architects, engineers, construction managers, design-builders, and other construction-related professionals. OFCC is responsible for administering many capital construction projects for state agencies, institutions of higher education and local public schools.

CONTROLLING BOARD THRESHOLD AND LIMITATIONS

Understanding the Controlling Board Threshold

The Controlling Board threshold is a spending limitation on the amount an agency can spend on a purchase for goods or services from a supplier that is noncompetitively selected without requiring prior approval from the Controlling Board. The threshold amounts for different types of disbursements are set forth in R.C. 127.16 (the “Threshold”). There are different considerations and factors that contribute to the analysis of whether a particular purchase requires Controlling Board approval.

Factors for Meeting the Controlling Board Threshold

Encumbrances & Disbursements

The Threshold calculation includes all disbursements to a supplier in the current fiscal year and all outstanding encumbrances with the supplier.

- A disbursement is a payment made for any purpose
- An encumbrance is a reservation of all or part of an appropriation that allows for the future payment of a obligation

Purchase or Contract Amount

The full amount contained in a contract, or the amount that will be paid to a supplier during the term of a contract, is included in the Threshold calculation. It is irrelevant whether the contract term extends into one or both years within a biennium. It is also irrelevant which year of a biennium the entire contract is disbursed.

Cumulative Amount

The sum of all payments to one supplier within one fiscal year that were not competitively selected pursuant to R.C. Chapter 125 or previously approved by the Controlling Board are included in the Threshold calculation.

Per Supplier

The Threshold calculation applies to a single supplier.

Per Agency

The Threshold calculation only includes payments made by a single agency to a single supplier and not payments made by other state agencies to the same supplier.

Prior Controlling Board Approvals

Purchases previously approved by the Controlling Board, regardless of the amount of the purchase, are not applied toward The Threshold.

Types of Controlling Board Thresholds and the Competitive Process

State Procurement Processes – Overview

Chapter 125 of the Revised Code generally requires State agencies to make purchases for goods or services using competitive selection through (DAS). There are few exceptions to this requirement, including purchases under \$50,000 and other specifically exempted purchases. However, R.C. 127.16 and 127.162 authorize the Controlling Board to either waive these statutory competitive selection requirements or approve an agency's use of another competitive procurement process without DAS.

A waiver of competitive selection allows an agency to enter into a contract or make a purchase without following the statutorily required competitive bidding process.

Typically, the waiver of competitive selection procurement process will fall into one of two categories: Single Source or Sole Source.

Purchase of Supplies or Services

As previously discussed, R.C. 127.16(B)(1) sets forth the requirement that the threshold for purchases of supplies or services is \$50,000 from a particular supplier in the fiscal year by the agency seeking to make the purchase. This threshold includes the amount of all disbursements to the supplier during the fiscal year for purchases made by the agency from the supplier and the amount of all outstanding encumbrances for purchases made by the agency from the supplier. Purchases made by competitive selection or with the approval of the Controlling Board are not included when considering whether a purchase will exceed the \$50,000 threshold.

An agency released competitive opportunity is one of the selection processes an agency may use to meet competitive bidding requirements. It is effectively a subcategory of competitive selection, as referenced above. Under certain circumstances, an agency may post a contract opportunity for a specified period online or solicit multiple bids. The agency released competitive opportunity allows the agency to explain how they competitively selected a supplier while not precisely using the competitive bidding process through DAS.

For example, an agency may follow all proper procedures to solicit bids, but still only receive one proposal. This would be considered an agency released competitive opportunity requiring Controlling Board approval because the agency attempted to competitively bid the project but was unable to compare multiple bids.

What qualifies as soliciting bids in a competitive manner is defined in Ohio Administrative Code (O.A.C.) 123:5-1-01. Specifically, a competitive manner is an open and fair process that promotes competition among prospective bidders. The process should be tailored to the products, supplies and services to be acquired. Depending on the needs of the agency, the process may be an informal or formal solicitation with the goal of achieving the lowest price for the products or services to be acquired or the most advantageous contract.

Soliciting bids by competitive selection includes the following procedures:

Competitive sealed bidding under R.C. 125.07

Competitive sealed proposals under R.C. 125.071

Reverse auctions under R.C. 125.072

There are always exceptions, so check with your agency Budget Analyst, the Controlling Board staff, or the DAS Office of Procurement Services.

Purchase Amount Under the Controlling Board Threshold

The cumulative amount of payments made or planned to a particular supplier throughout a fiscal year may rise to the applicable threshold amount. If a disbursement will cause the total amount of payments or encumbrances to reach the threshold amount, the agency must request a waiver of competitive selection. This includes the total amount of encumbrances and disbursements, contract amounts, and other payments to one supplier in a fiscal year.

The following table illustrates the calculation of the Controlling Board threshold for purchases of goods and services:

A	+B	+C	=D
Total amount of proposed purchase (not competitively selected) from a particular supplier. This is the amount to be spent over the entire period of the contract.	Amount of all disbursements to the supplier during the fiscal year for purchases* from the supplier that were NOT competitively selected nor approved by the Controlling Board.	Amount of all outstanding encumbrances for purchases* from the supplier that were NOT competitively selected nor approved by the Controlling Board.	\$50,000 or more.

Examples

1. An agency is seeking a purchase without competitive selection from a supplier in the amount of \$7,000. Prior disbursements in the current fiscal year, not including the proposed purchase, to the same supplier total \$15,000, and outstanding encumbrances with the same supplier equaling \$28,000. As a result, the agency will need Controlling Board approval before making the purchase: **$\$7,000 + \$15,000 + \$28,000 = \$50,000^*$**
2. An agency is seeking a purchase without competitive selection and the amount of the proposed purchase from the supplier is \$30,000. Total disbursements in the current fiscal year, not including the proposed purchase, to the same supplier total \$3,000, and outstanding encumbrances with the same supplier total \$23,000. The agency will need Controlling Board approval before making the purchase: **$\$30,000 + \$3,000 + \$23,000 = \$56,000^*$**

*Purchases that have been made by competitive selection (defined in R.C. 125.01(l)) or that have been approved by the Controlling Board are NOT included in the calculation.

Single Source vs. Sole Source Procurements

Sole Source

A procurement where there is only one supplier that can provide the goods or services desired by the agency and that any attempt to obtain bids or quotations would only result in that single supplier bidding on the opportunity.

Single Source:

A procurement from one selected supplier, even though there are other suppliers that may provide similar supplies or services. A single source procurement decision must be justified based on strategic factors, such as continuity of services, standardization, specialized capabilities, warranty, etc., even though other competitive sources may be available.

Contract Duration

Article II, Section 22 of the Ohio Constitution prohibits the General Assembly from making appropriations that last more than two years. Consequently, state agencies are prohibited from obligating appropriations beyond the fiscal biennium as every appropriation expires at the end of the biennium. Accordingly, Controlling Board action is also confined by the two-year (biennial) limitation.

Agencies also need to be cognizant of contracting, payment, and purchasing limitations otherwise set out in the Revised Code or uncodified law included in acts of the General Assembly when considering budget adjustments through the Controlling Board and any required interaction with other state entities. Two examples of limitations requiring interaction with OBM are found in R.C. 126.07 and 126.071.

R.C. 126.07 lays out OBM's review of agency contracts, agreements, or obligations regarding appropriated funds in the state treasury and invalidates any one of those items without a certification from OBM stating that there is a sufficient balance in the appropriation to make the applicable payment. Similarly, R.C. 126.071 prohibits agencies from agreeing to a settlement that obligates money in the state treasury without first consulting with the Director of OBM. Compliance with these provisions, and any applicable OBM guidance, is necessary for an agency to receive approval from the Controlling Board for either a budgetary adjustment through a transfer of appropriation or increase in appropriation. Both OBM and the Controlling Board review these requests to ensure compliance.

The use of other competitive processes is strongly encouraged to get the best quality for the best price. Contracts often contain provisions that allow for renewals in subsequent fiscal years. The renewals typically require Controlling Board waivers of competitive selection, so that the existing contract does not have to be competitively bid again at a later date for the same goods or services.

Contract Amendments and Contract Renewals:

- An **amendment** to a contract not previously approved by the Controlling Board with a particular supplier requires Controlling Board approval if the amount of the amendment, the original contract, and applicable encumbrances with and disbursements to a particular supplier equals or exceeds the Controlling Board threshold.
- An **amendment** to a contract previously approved by the Controlling Board that increases the dollar amount of the contract, changes the supplier, or modifies the scope of the work must be approved by the Controlling Board.
- A **renewal** of a noncompetitively selected contract with a particular supplier requires Controlling Board approval if the amount of the renewal and applicable encumbrances with and disbursements to equals or exceeds the Controlling Board threshold.

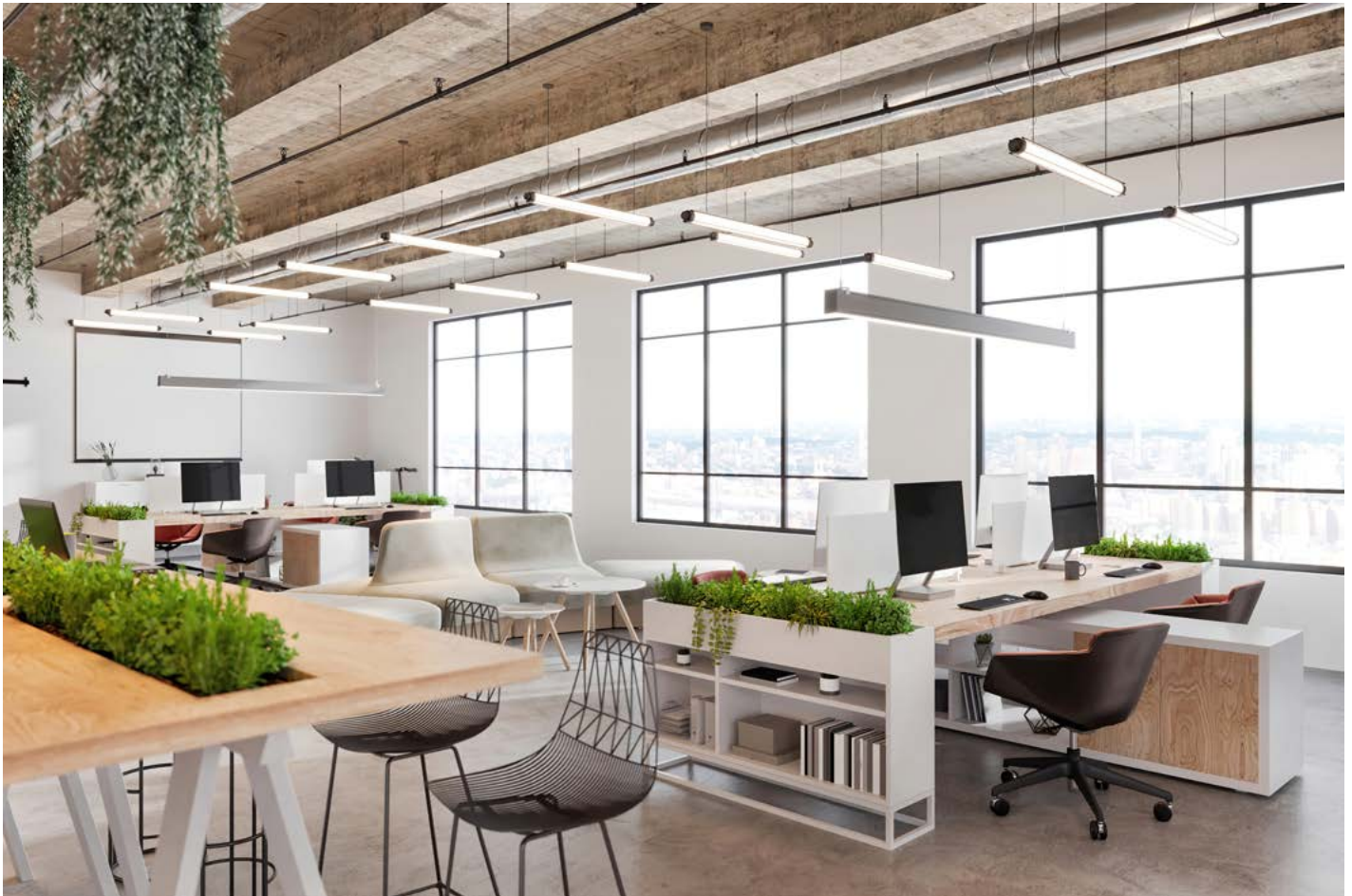
Appropriation Limitation

The Controlling Board generally does not have the authority to establish or increase appropriations in the federal or non-federal funds listed in R.C. 127.14(D), pursuant to R.C. 131.35. Agencies should review the funds listed in R.C. 127.14(D) before submitting a request to the Controlling Board.

Pursuant to R.C. 131.35, the Controlling Board is limited in its authority to increase an appropriation or authorize additional appropriations in a new fund to an amount not to exceed one-half of one per cent of the state General Revenue Fund appropriations in the fiscal year in which the appropriation increase or new appropriation is sought. Additionally, the Controlling Board is generally prohibited from increasing appropriation authority for a licensing board from the Occupational Licensing and Regulatory Fund (Fund 4K90) in excess of 10 per cent of that board's appropriation in that fiscal year.

Real Estate Leases

Pursuant to R.C. 127.16(B)(2), the threshold for real estate leases is \$75,000 from a particular supplier in the fiscal year by the agency seeking to engage in the lease. This threshold includes both the amount of all disbursements to the supplier during the fiscal year for real estate leases made by the agency from the supplier and the amount of all outstanding encumbrances for real estate leases made by the agency from the supplier. Leases made by competitive selection or with approval by the Controlling Board are not included when considering whether a real estate lease will exceed the \$75,000 threshold. When making the calculation for real estate leases, only real estate lease disbursements and encumbrances to the same supplier in the same fiscal year need to be considered pursuant to R.C. 127.16(B)(2).



ACTIONS EXEMPT FROM CONTROLLING BOARD APPROVAL

Sources for Purchases Exempt from Controlling Board Review

Pursuant to R.C. 125.035 and DAS policy, state agencies are required to use the following sources (suppliers) for supplies and services if offered by those sources, listed below (also known as the “requisite procurement programs”):

Ohio Penal Industries (OPI) within the Department of Rehabilitation and Correction

Business Enterprises Program at the Opportunities for Ohioans with Disabilities Agency

DAS Office of State Printing and Mail Services

OFCC

DAS Office of Procurement from Community Rehabilitation Programs

DAS Office of Information Technology

Ohio Pharmacy Services at the Ohio Department of Mental Health and Addiction Services (Institutional Agencies only)

Prior to making a purchase, and after checking with the requisite procurement programs, state agencies must also check to see if a DAS contract for the needed supplies or services exists. In some cases, use of these contracts to fulfill procurement needs is mandatory. Agencies are encouraged to purchase from other state agencies or state assisted institutions of higher education when possible. All questions related to requisite procurement requirements should be directed to DAS.

REQUEST TYPES AND ATTACHMENTS

Operating, Capital, Real Estate Overview

This section is structured to give details surrounding the general types of Controlling Board requests. Although it covers the most common types of requests, a circumstance not covered by these instructions will occasionally arise. In such cases, contact the Controlling Board Secretary or your agency's OBM Budget Analyst for more information and guidance.

The type of request that an agency submits is determined by the specific action the Controlling Board or the OBM Director is being requested to approve. There are five basic request types and the actions for which they are used are as follows:

01

FUND/APPROPRIATION
REQUEST

02

OPERATING
REQUEST

03

OPERATING TRANSFER
REQUEST

04

CAPITAL REQUEST

05

LAND ACQUISITION
REQUEST

Operating Fund/Appropriation Request

This request is submitted primarily for the creation of a fund or the increase in appropriation authority related to operating funds. More information on this section is provided later in this chapter. The common uses of this form include:

Create a new fund

Establish appropriation authority

Increase appropriation authority

Operating Request

This request is submitted when an agency is requesting a waiver of competitive selection or an agency released competitive opportunity using operating funds. It may also be submitted for actions requiring Controlling Board approval set forth in both codified and uncoded Ohio law. This request should not be used for any action involving capital appropriations. An Operating Request for a waiver of competitive selection or agency released competitive opportunity for procurement can be divided into seven categories. Each of these categories listed below has specific information that must be included in the request:

New contracts

Contract amendments

Real estate lease amendments

Non-real estate leases

New real estate leases

Real estate lease renewals or real
estate lease holdovers

Other approvals required by statute or uncoded law

Operating Transfer Request

This request is to accommodate transfers of operating appropriations within or between fiscal years of an operating biennium. More information on this type of request is provided later in this chapter.

Transfer of operating appropriations

Transfer of cash

Transfer of operating appropriations and cash

Capital Request

This request involves the use of appropriations for building projects or improvements made in a capital appropriations act. This request is submitted for:

Transfer of capital appropriations

Release of money appropriated for capital projects

Waiver of competitive selection involving the selection of a supplier related to a capital project

Agency released competitive opportunity involving the selection of a supplier related to a capital project

Change of intent for previously released capital money appropriated for a capital project

Capital Request Combinations

Capital requests can cover more than one area under the authority of the Controlling Board. When more than one authority is requested, agencies must complete all requirements for each type of request. For example:

Requests for a transfer of funds often involve the release of funds for the capital project. In this instance, agencies need to complete all requirements for both a transfer and release of funds.

Requests for waivers of competitive selection may also involve a release of funds. If that is the case, agencies must complete all requirements for a release of funds and a waiver of competitive selection.

Requests for a change of intent may involve previously released, but unencumbered, capital funds, and may also involve a request for a waiver of competitive selection or an agency released competitive opportunity. Agencies must complete all requirements for a change of intent and, if applicable, a waiver or agency released request. Requests for changes of intent may also be combined with a request to release and/or transfer capital funds, in which case, also complete all requirements for both type of requests.

Note: Requests for the release of funds for planning/design/engineer contracts for amounts that will not exceed the Controlling Board threshold, for competitively bid construction contracts, or for the purchase of equipment through competitive selection only involve the release of funds.

Land Acquisition Request

This request is submitted for real estate acquisitions that must be presented to the Board. These requests include all purchases of real estate by any agency pursuant to R.C. 126.14 and all land purchases, regardless of the source of funds, made by higher education institutions pursuant to R.C. 3333.071. The common uses of this form include the following:

Release of capital appropriations for real estate acquisition

All real estate acquisitions by institutions of higher education

Transfer of capital appropriations involving real estate acquisition

Waiver of competitive selection



PUBLIC EXIGENCY AND EMERGENCY PROCUREMENT

Operating Emergency

R.C. 125.061 outlines two conditions that affect agency purchasing when there is an emergency condition affecting a state agency: an “emergency” as defined in R.C. 5502.21 and a “state procurement emergency,” as defined in R.C. 125.061. When one of these conditions exists, DAS can suspend the purchasing requirements, which includes the release and permit requirements of R.C. 125 (for an emergency – DAS can also suspend requirements of R.C. 153). All purchases made by an agency when DAS has exercised the authority in R.C. 125.061 are required to be reported to the Controlling Board President.

For guidance and advice on the application of this provision, agencies are encouraged to reach out to DAS.

[Here is a link](#) for DAS guidance on emergency procurement protocols.

Capital Emergency

Similar to authority in R.C. 125.061, the Executive Director of the Ohio Facilities Construction Commission (OFCC) is authorized to declare a “public exigency” when there is an injury or obstruction or an immediate danger of an injury or obstruction in “the public works of the state” under circumstances affecting the use of the facility, or adjacent property and may enter into contracts in response to the exigency that are not subject to the competitive bidding or selection requirements of R.C. 153.

Although specific requirements of R.C. 153 will not be required, an agency or institution of higher education may still need to seek Controlling Board approval for release of capital funds if necessary to respond to the exigency.

The Director of Budget and Management may, in some cases, approve the release of unencumbered capital balances, for a project to repair, remove, or prevent a public exigency declared to exist by the Executive Director of the OFCC under R.C. 123.10 in the amount designated in that declaration.

For guidance and advice on the application of this provision, agencies are encouraged to contact the OFCC.

Exempt Types and Sources of Services and Supplies

Certain types of supplies and services and certain sources (suppliers) from which supplies and services may be purchased are exempt from Controlling Board review, regardless of the total dollar amount.

Types of Purchases Exempt from Controlling Board Review

The following is a partial list of the most common types of specific purchases (many of which are listed in R.C. 127.16(D)) that are exempt from Controlling Board review:

Examinations purchased from a sole supplier by a state licensing board under Revised Code Title 47

Membership dues in an association or organization

Purchases made pursuant to DAS rules of motor vehicle, aviation or watercraft fuel, or emergency repairs of such vehicles

Passenger airline tickets

Purchases made from other state agencies, including state-assisted institutions of higher education

Legally required public notices or notifications of job openings

Motor courier and freight services purchased pursuant to DAS rules

Postage

Books, periodicals, newspapers, maintenance subscriptions, and published materials

If your agency has a question regarding whether a particular type of purchase is exempt from Controlling Board approval, please feel free to contact Controlling Board staff after consultation with agency legal counsel and DAS.

DAS STATE CONTRACTS

DAS has established state contracts through competitive selection or a waiver of competitive selection from the Controlling Board for a variety of supplies and services to enable State Agencies to fulfill their procurement needs.

The contract types in the waiver include: state term schedule (STS) contracts, master maintenance agreements, master license agreements, master service agreements, and master cloud service agreements. Purchases that are made from and reference a state contract as the purchase authority are not counted against a state agency's cumulative annual Controlling Board threshold and generally do not require Controlling Board approval.

For purchases referencing STS as the purchase authority, state agencies are required to obtain a minimum of three quotes or proposals. If the state agency obtains fewer than three quotes or proposals, the state agency must secure Controlling Board approval of a waiver for "no competitive opportunity" prior to issuing a purchase order. Additional guidance on the use of STS can be found in the DAS Purchasing Procedures PM-01 policy.



CAPITAL AND THE OHIO FACILITIES CONSTRUCTION COMMISSION

Uses of Capital Funds/Release of Capital Funds, R.C. 127.14 and R.C. 126.14.

To expend capital dollars to pay legitimate project costs, an agency must submit a request to the Controlling Board or the Director of OBM to “release” the appropriations. However, there are specific legal requirements that must be met prior to requesting a release of funds. The capital funds will not be released until the agency is ready to encumber funds for planning/design services, initiate construction contracts that were previously competitively bid, purchase equipment, or incur other capital-related costs. Additionally, capital projects funded by the issuance of State bonds must comply with regulations for allowable use, which can be found [here](#).

Change of Intent

A change of intent occurs within the project budget and does not require a transfer of appropriation authority between capital line items. A request for a change of intent involving previously released capital appropriations approved by the Controlling Board allows the agency or institution to reallocate a portion of the funds already released for a specific purpose, such as a contingency account, to an existing component included in the project budget, such as equipment pursuant to R.C. 126.141. However, all of the following criteria must be met:

- The appropriation has been previously released

- This reallocation involves one project and one appropriation line item

- This reallocation involves unencumbered appropriations within the capital biennium in which the original release occurred

- The request for the change of intent does not modify the original scope of the project

This type of request may be accompanied by an additional release of capital funds and/or a waiver of competitive selection or agency released competitive opportunity. A waiver of competitive selection by the Controlling Board is required if the change of intent affects a contract the Controlling Board has already approved or if the contract modification will result in exceeding the threshold amount for purchases.

Changes of intent are often caused by change orders. Change orders may be recommended by the architect/engineer, authorized by the owner, and issued after execution of the construction contract to authorize a change in the work or an adjustment in the contract sum or contract timeline for the project.

Contingency Funds

Project contingency funds are required to be reserved to pay costs resulting from unanticipated job conditions, to comply with rulings regarding building and other codes, to pay costs related to errors and omissions in contract documents, and to pay the cost of settlements and judgments related to the project pursuant to R.C. 126.141. If a portion of the contingency reserve remains unused upon completion of the project, the agency can seek Controlling Board approval to have such moneys released for use in other capital facilities projects.

Contingency funds are generally not to be used for changes in project scope. For questions, please consult the OFCC or Controlling Board staff.

Transfer of Appropriation Authority between Capital Line Items, R.C. 127.14 and R.C. 127.15.

The Controlling Board is authorized to transfer appropriations between capital line items or create new capital line items and authorize transfers to those new line items, within the same fund. Prior to submitting a request for the transfer of capital appropriations, the agency should consult its OBM Budget Analyst and discuss the rationale for the proposed transfer of appropriations.

According to R.C. 127.15, prior to such transfers, the agency (or institution of higher education) is required to notify the elected representatives of the General Assembly from the counties affected by such transfer of appropriations stating the time and place of the hearing on the proposed transfer. Requests to transfer capital appropriations should be prepared on the "Capital Request" form. Typically, requests to transfer appropriation authority between capital line items are accompanied, in the same request, by a request to release the transferred funds.

Ohio Facilities Construction Commission

The OFCC is involved in the selection of architects, engineers, construction managers, design-builders and other construction-related professionals. OFCC is responsible for administering capital construction projects for state agencies and institutions of higher education.

Generally, the administration of a capital construction project is performed by the OFCC. However, pursuant to R.C. 123.211, some agencies may receive approval from the OFCC to administer their own capital projects if the estimated cost of the project is under \$3 million. Additionally, pursuant to R.C. 3345.50, state-assisted institutions of higher education may administer projects of less than \$4 million without approval. Also, those state-assisted institutions of higher education that maintain a certification for local administration may administer projects of any size if the requirements of R.C. 3345.51 are met. Finally, consideration of OFCC involvement in a capital project is typically limited to construction projects. For questions related to the administration of capital projects, agencies and institutions should contact OFCC.

As stated above, the following points are the dollar amounts to consider when determining OFCC involvement:

Selection of Service Providers

Most capital projects require two or more Controlling Board actions. Typically, when a project requires a contract for design or other professional services, a request for the release of funds to enter into the contract is presented to the Board for approval. A subsequent release of funds (or multiple releases) should be requested for the contracts for the construction phase(s) of the project.

Architects/Engineers or other Construction-Related Professional Services

Before requesting the release of funds, an agency must determine who will be providing the design or other professional services. For most projects, obtaining the planning and design services of an architect or engineer pursuant to the requirements of R.C. 153.65 – 153.70 is the first step. Once the agency is ready to enter into a contract, Controlling Board approval is required for the release of funds according to R.C. 126.14 and R.C. 127.14(G). In addition, Controlling Board approval may be required if the proposed amount of the contract equals or exceeds the agency's Controlling Board threshold according to R.C. 127.16 (B).

Managing an Architect/Engineering Contract

Generally, an Architect/Engineer (A/E) is hired through an agency released competitive opportunity and approved by the Controlling Board at the design stage of a capital project. As a project commences, the A/E contract may need amending to address unanticipated changes to the project design. These amendments may be paid for with the owner contingency released at the time funds are released for the construction contract. But, if the owner's contingency is depleted, an increase in the contingency to cover the A/E amendment requires additional Controlling Board approval. In this case, a Controlling Board request is submitted as an agency released competitive opportunity if the amendment occurs within the same capital biennium as the initial approval or as a waiver of competitive selection if the amendment occurs in a capital biennium later than the initial approval of the A/E contract.

These request types should be considered on a case-by-case basis. When considering this option, agencies should contact the OFCC, their OBM Budget Analyst, or the Controlling Board Secretary.



REAL ESTATE

Purchase of Real Estate

The following points outline the scenarios regarding real estate and the Controlling Board:

All acquisitions of real estate require approval for a release of funds (R.C. 126.14)

All real estate purchases exceeding the \$50,000 spending threshold require approval, regardless of source (R.C. 127.16)

All expenditures for acquisitions of real estate made by state-assisted institutions of higher education or agents of such institutions regardless of the source of funds require approval for a release of funds (R.C. 3333.071)

Appraisals

One independent appraisal is required for all real estate or land acquisitions whose total option price is less than \$100,000. For real estate or land acquisitions whose total option price is greater than or equal to \$100,000, two independent appraisals are required. This applies to both Operating and Capital requests. Any contracts or documents prepared by the seller, agency, or institution setting out the terms of the real estate transaction should be included as attachments to the request.

LEASE OF REAL ESTATE

Threshold:

The Controlling Board threshold for real estate leases is \$75,000 for a real estate lease from a particular supplier in the fiscal year in which the agency is seeking the lease. In addition to the lease sought by the agency, the calculation of the threshold also includes both the amount of all disbursements to the supplier during the fiscal year for real estate leases made by the agency from the supplier, and the amount of all outstanding encumbrances for real estate leases made by the agency from the supplier. This does not apply if the lease was made by competitive selection or with approval by the Controlling Board, pursuant to R.C. 127.16(B)(2).

Renewals:

Generally, real estate commercial leases through the DAS Office of Real Estate and Planning expire at the end of the biennium period and must be renewed every two years.

Real estate lease agreements typically contain renewal clauses establishing the rental and service rates and the duration of the lease agreement, which usually correspond with the beginning of each fiscal operating biennium. Renewals of real estate lease agreements, like other contract renewals, must also be approved by the Controlling Board if the amount causes the agency to equal or exceed the Controlling Board threshold for real estate leases. The DAS Office of Real Estate and Planning is responsible for preparing the request for Controlling Board review prior to the beginning of the new biennium.

Real estate commercial lease agreements through DAS have been categorized into two classifications: Routine Renewals and New Leases and/or Non-Routine. DAS has traditionally sought to waive competitive bidding for all commercial lease agreements in a block format in one Controlling Board request.

Routine Renewal Agreements

If a commercial lease renewal agreement contains a renewal rent increase of less than 5% and the office space allocation meets or is better than the established criteria of 250-350 square feet per person, the lease renewal will be considered routine and approved through the streamlined method. This method permits rental payments for commercial lease renewal agreements classified as “routine” to be processed using the Controlling Board number aligned with the approved commercial lease renewal process.

New Lease and/or Non-Routine Renewal Agreements

If a commercial lease agreement does not meet the Routine criteria, the new lease or non-routine renewal agreement should be submitted as an independent request to the Controlling Board for consideration if it exceeds the Controlling Board threshold.

Sale of Real Estate (Land Conveyance)

State agencies and institutions of higher education may opt to sell state-owned property (R.C. 123.01). Those properties under the jurisdiction of a state agency with an appraised value of less than \$100,000 and those properties under the jurisdiction of an institution of higher education with an appraised value of less than \$10,000,000 are eligible for sale pending Controlling Board approval.

All real estate sales of property will require, as part of the Controlling Board submission package, a real estate appraisal performed by a third-party real estate appraiser. The DAS Office of Real Estate and Planning is responsible for preparing the request for Controlling Board review. Consult with DAS for further guidance.

RELEASE & PERMIT PROCEDURES

DAS Role

R.C. Chapter 125 places a responsibility upon DAS to oversee purchases of certain types of supplies and services (i.e., computers, software, telecommunications, printed supplies, copiers, fax machines, and vehicles). DAS is also responsible for making purchases of supplies and services above the agency direct purchasing threshold established in R.C. 125.05, unless DAS determines that it is not possible or advantageous to make the purchase on behalf of the agency. DAS' authority to grant a Release and Permit is established in R.C. 125.035 and 125.05 and O.A.C. 123:5-1-03. Procedures for requesting a release and permit can be found in the [DAS Procurement Manual](#).

DAS may also grant special Blanket Release and Permits, typically identified by an OBM expense account code for certain goods and services when it is not possible or advantageous for DAS to make such purchases. The DAS Office of Procurement Services (OPS) will generally issue a Blanket Release and Permit prior to the beginning of each biennium.

Types of Release and Permits

Non-IT Release and Permit.

This is a required type of prior approval issued by OPS allowing state agencies to make purchases of general supplies and services that exceed a state agency's direct purchase authority. OPS issues a non-IT release and permit when it has been determined that it is not possible or advantageous to make the purchase on behalf of the state agency.

Non-IT Blanket Release and Permit.

Each biennium, OPS issues non-IT blanket release and permits for all purchases of certain types for general supplies and services, categorized by OBM expense account code, which authorizes state agencies to make such purchases without the involvement of OPS.

IT Release and Permit.

This is a required type of prior approval issued by OPS for the purchase of IT supplies and services when it is not possible or advantageous to make the purchase on behalf of the state agency. OPS issues a unique IT release and permit per purchase request by fiscal year, typically provided for transactions that are equal to or exceed \$25,000. IT supplies and services are identified by OBM's expense account codes. [The OBM expense account code will indicate when an IT release and permit is required.](#)

For IT goods and services, a DAS OIT release and permit is required for all Controlling Board actions involving the purchase of IT supplies, equipment, or services.

IT Blanket Release and Permit.

Each fiscal year, OPS issues IT blanket release and permits to each State Agency to facilitate the purchase of IT supplies and services under \$25,000 per transaction. IT supplies and services are identified by OBM's expense account codes. The OBM expense account code will indicate when an IT release and permit is required. OPS issues guidance limiting the use of the blanket release and permit for certain supplies and services (Purchasing Procedures PM-01).

Capital Construction Contract Release and Permit

“OAKS FIN Contract Numbers” and “Release and Permit Numbers” related to capital construction are issued by the OFCC. Release and permit numbers are issued in association with design services, while contract numbers are created for construction services. One exception to the rule is when agencies use the OFCC consultant list. A contract number is issued although the consultant list is primarily used for design services.

A release and permit number is issued by the OFCC after Controlling Board approval and gives an agency permission to procure construction services in accordance with purchasing requirements. An agency will receive a release and permit number when a Request for Qualifications (RFQ) is issued for an architect or engineer with whom the agency desires to work is not on the OFCC consultant list; for a Construction Manager at Risk (CMR); and design-build contracts for construction projects. Additionally, an agency must receive Controlling Board approval for an agency released competitive opportunity for a locally administered project before a release and permit is issued.

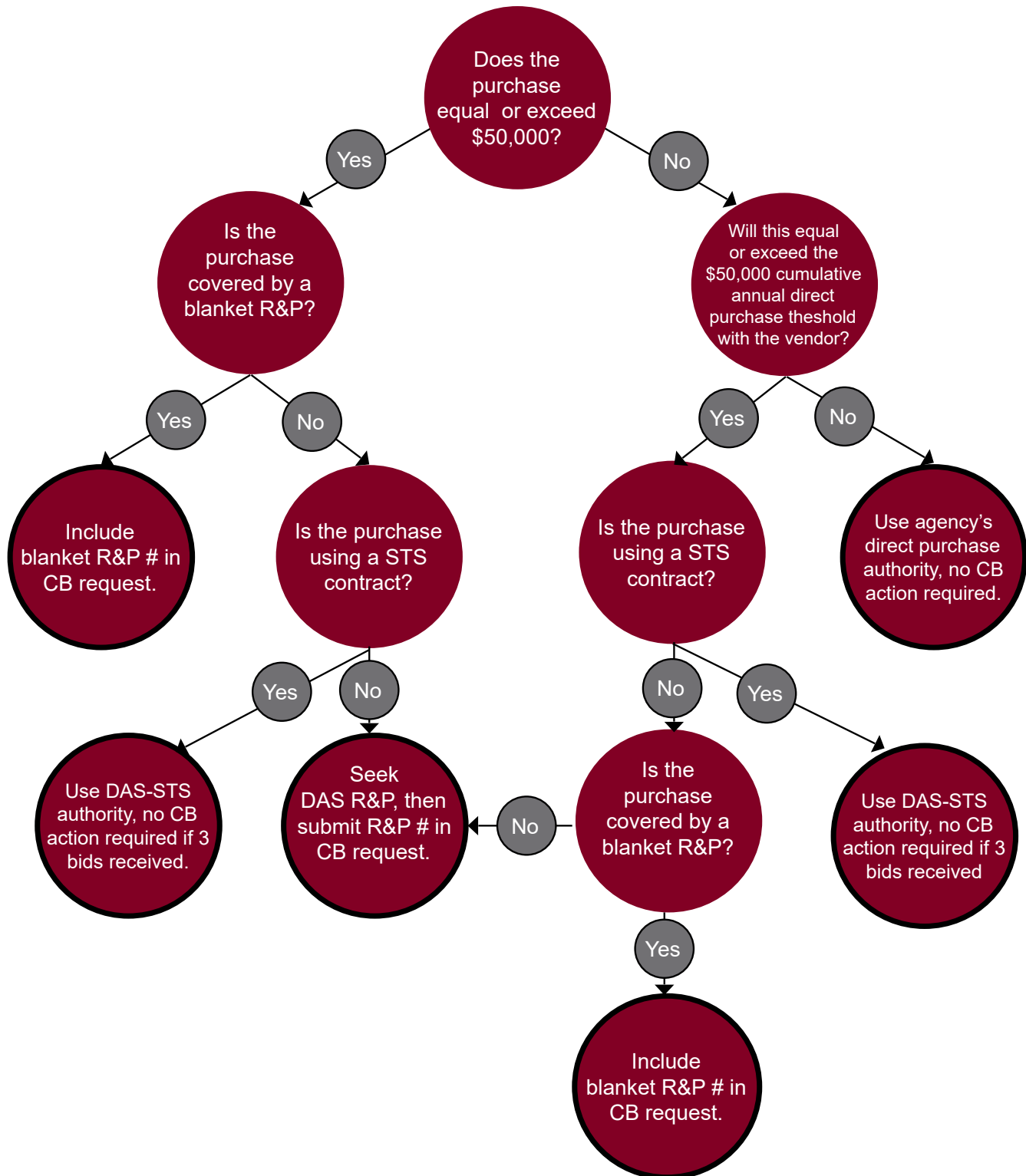
Also, locally administered construction contracts and encumbered purchase orders must go to the OFCC for a contract number, which are referenced when entering a requisition in OAKS FIN. Encumbered purchase orders are used for contingency amounts. Also, a contract number is often referred to as a “Contract ID.” Contract numbers are also issued by OFCC when an agency has chosen to use OFCC’s consultant list.

All expenses are identified in OBM State Accounting’s Expense Account Code table [Here](#)



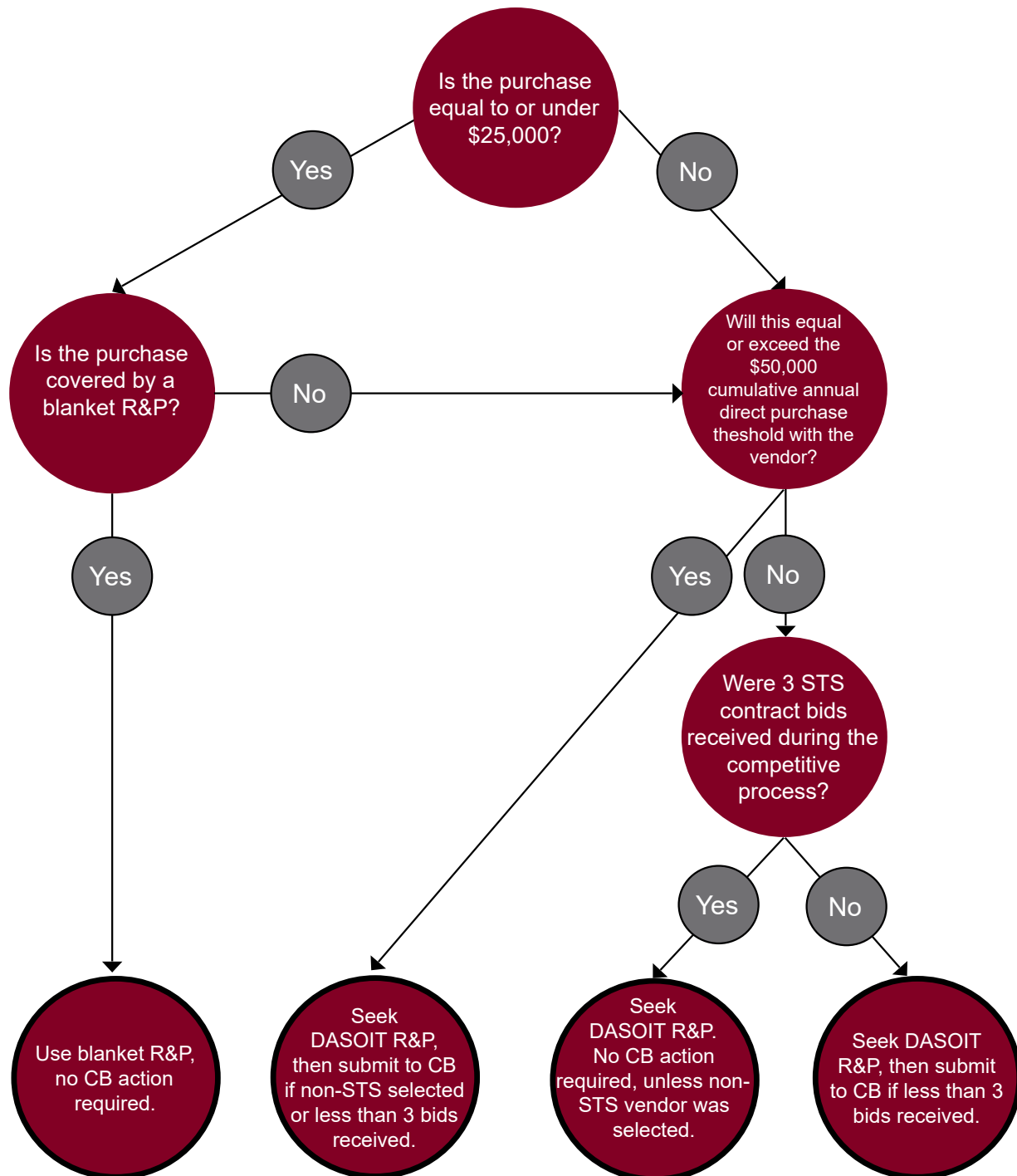
Release and Permit: Non-IT Purchases and Contracts

Please note, this document is intended for use as general guidance only, and should not be relied upon as legal interpretation of state law or official policy of any agency. For further guidance, please seek assistance from your agency's legal counsel.



Release and Permit: IT Purchases and Contracts

Please note, this document is intended for use as general guidance only, and should not be relied upon as legal interpretation of state law or official policy of any agency. For further guidance, please seek assistance from your agency's legal counsel.



LATE ADDITIONS TO THE PUBLISHED AGENDA

Missed OBM Submission Deadline Protocol

If an agency misses the deadline for submitting a request, the request will be automatically scheduled for review and consideration for the next meeting. However, the realities of operating state government create circumstances where flexibility is necessary. In situations where a request submission deadline will be missed, it is imperative that the agency contact the Controlling Board President and the agency's OBM Budget Analyst.

Late submissions will only be considered in exceptional circumstances. In making a late submission, the agency must be prepared to explain the nature and the consequences to the State if the request is delayed until the next regularly scheduled meeting. The agency must also explain why the request was not, or could not be, submitted in a timely manner. The Controlling Board will not accept late submissions without prior approval by the President.

Late Additions to the Agenda after Publishing

If an agency determines that an item must be considered for the upcoming agenda after the agenda has been publicly published, the agency must reach out to the Controlling Board President **immediately** and the agency's OBM Budget Analyst as soon as possible.

As with late submissions prior to the publication of an agenda, the agency must explain the nature and the consequences to the State if the request is delayed until the next regularly scheduled meeting, and why the request was not submitted in a timely manner. No items will be considered for the upcoming meeting without approval from the Controlling Board President.

Once it has been determined that a late submission to the published agenda is necessary, the President will take the following actions:

1. The item will be published as a late addition on the regular agenda and the members will be notified.
2. The Board will then vote to accept or deny the requested addition to the regular agenda. If the Board denies the addition, it does not prevent the item from coming back to the Board at a later date, it only prevents the request from being considered and reviewed at the meeting at which it was a proposed late addition.
3. At the Controlling Board meeting, in order to consider the item, the Board will hear testimony from the agency outlining the request and why it should be added to the regular agenda. This will take place during the announcements portion of the Board's business and before all other items are considered. At this point, members will be afforded the opportunity to ask questions about the item.
4. If the item is accepted, the item will be added to the regular agenda for further consideration. This also allows the members another opportunity to ask questions if the item is held as a part of the regular agenda.

OBM DIRECTOR APPROVAL SUBMISSIONS

As a result of the enactment of a capital appropriations bill, certain appropriations are designated by the Director of OBM (the “Director”) as “specific projects” under R.C. 126.14. These projects are so narrowly focused that they may qualify for review and approval by the Director rather than the full Controlling Board. Soon after a capital spending bill is enacted, OBM publishes a document with a list of appropriation line items, designating each as either “General” or “Specific”. The Controlling Board is provided this list within sixty (60) days of the effective date of the capital appropriations bill.

All requests for a waiver of competitive selection or agency released competitive opportunity require Controlling Board approval, regardless of the General and Specific designation.

The Director of OBM may approve a change of intent for the components of a “Specific” project for which approval has already been granted, provided that a waiver of competitive selection or agency released competitive opportunity is not required.

The Director may approve the release of unencumbered capital balances for a project to repair, remove, or prevent a public exigency declared to exist by the Executive Director of the Ohio Facilities Construction Commission under R.C. 123.10 in the amount designated in that declaration.

General/Specific Designation

Director Approval submissions generally follow the same review process and timing as other Controlling Board requests, however, submissions eligible for approval by the Director are not published on an agenda.

Understanding whether a capital project has been designated “General” or “Specific” will determine both the way the Controlling Board request is prepared and how the release may be approved. While the Director can approve the release of capital funds for specific projects, the release of any funds used for real estate acquisition and “General” ALIs require the approval of the Controlling Board.

You can find the General and Specific lists on the OBM website, [here](#).

CHANGES TO PREVIOUSLY APPROVED CONTROLLING BOARD REQUESTS

Changes to previously approved Controlling Board requests are classified as substantive, non-substantive, or accounting changes. Substantive changes to requests previously approved by the Board must be submitted to the full Controlling Board for approval. Non-substantive changes must be submitted through the Controlling Board portal to the President for approval. Notices of accounting changes must be submitted to OBM Financial Support Services. Please consult your OBM Budget Analyst for assistance.

Substantive Change

A substantive change to a previously approved Controlling Board request requires the preparation and submission of a new request to the Controlling Board for approval. The requirements and process for a substantive change are the same as submitting a new request.

Substantive changes include, but are not limited to, the following:

- A different supplier, contractor, or provider of services
- An increase in the amount to be paid to a supplier or the rate(s) of payment to the supplier
- A change in the scope of work, type of work, work product, purpose or context of a contract
- An increase in the amount of a real estate lease resulting from increased rent, square footage or other terms of the lease
- Transferring previously approved contracting authority to a fiscal year that has not been approved by the Controlling Board
- A change in the amount of a loan, rate of interest, guarantors, security, repayment period or terms, or project that is the subject of the loan
- Any other change which the President of the Controlling Board determines to be a substantive change

Non-substantive Change

A non-substantive change to a previously approved Controlling Board request requires the approval of the Controlling Board President. A submission should include the Controlling Board number, approval date, and an explanation of the request, in addition to the agency contact. The information should be submitted through the e-Controlling Board website, along with any supplemental information or documents necessary to explain the requested change. Anyone with access to the Controlling Board portal can create and submit a non-substantive change. Please be as specific as possible about the exact nature of the requested change(s). Providing more details will aid in a more expedited review. It is not necessary to notify the Controlling Board members

Non-substantive changes include, but are not limited to, the following:

The term or fiscal year for which the contract is approved, which also must be within the current biennium

The contract amount allocated to each fiscal year of the biennium

The appropriation line item number or name or fund identified in the request

The subcontractor(s) identified in the contract

Any accounting changes identified in Item 1 (see Accounting Changes)

Any other change that the President identifies as a non-substantive change

For additional questions regarding the changes to a previously approved Controlling Board request, contact your OBM Budget Analyst or the Controlling Board staff.

Accounting Changes

In some cases, accounting changes (or unintentional errors) occur during the processing of previously approved Controlling Board requests when encumbering funds or completing purchase orders.

Accounting changes affect the vendor's information used to process the payment approved by the Controlling Board or Director of OBM. Please follow the guidelines below for changing the information with State Accounting.

1. Notify the Supplier Operations Section within OBM Financial Support Services division of any change that affects payment to the contractor, including a change in:
 - Contractor's tax identification number
 - Contractor's name or address
 - Contractor's ownership, e.g., contractor is bought by or merges with a third party
 - Contractor's organizational status, e.g., contractor incorporates or joins partnership
2. Notify the Financial Services Section of OBM Financial Support Services in writing when any of the above changes affect encumbering funds requiring a modification to OAKS to complete the encumbering process. This written notification must include the following:
 - Controlling Board number
 - Controlling Board approval date
 - An explanation, including all tax identification information, justifying the requested OAKS modification
3. A request to the Director of OBM should be made for a supplier override of the voucher once an encumbrance has been created and vouchered

Please work with your Budget Analyst and/or Financial Support Services to determine the proper process to follow to make the correction.

EMERGENCY PURPOSES AND DISASTER SERVICES FUNDS

Emergency Purposes Fund (5KM0)

This fund is used by the Controlling Board, at the request of a state agency or the Director of Budget and Management, to provide disaster and emergency aid to state agencies and political subdivisions or for other purposes approved by the Board, such as wrongful imprisonment settlements. The threshold for requesting support from this fund is very high.

In the case of a transfer of cash and/or appropriation from the Emergency Purposes Fund the Controlling Board Secretary, upon approval of the transfer by the Board, will provide written notice to the agency, if applicable, regarding the reporting requirements under R.C. 127.14. The respective agency is then responsible to ensure compliance with the reporting obligations including, but not limited to submitting a subsequent transfer request when applicable pursuant to division (H) of R.C. 127.14.

When considering this option, agencies need to proactively communicate with the President, Secretary, and their OBM Budget Analyst prior to submission.



MEETING OVERVIEW AND PROCEDURES

The Controlling Board meeting is the focal point of the Board's work. Although a great amount of effort is expended before a meeting to facilitate the work of the Board, it is the meeting itself in which the Board formally takes an action to grant, deny, amend, or defer any item(s) on the agenda.

Meeting Overview

Typically in attendance at a Controlling Board meeting are the Board members, members' staff, LSC liaisons for the four caucuses, agency representatives, representatives of the media, and members of the public. Meetings are typically held in the same hearing room: the North Hearing Room in the Senate Annex building. In most cases, the Controlling Board meets approximately every two weeks, with exceptions for holidays, elections, and other special events. Generally, the Controlling Board President publishes the meeting schedule in October for the upcoming calendar year.

All meetings are live streamed on the Ohio Channel website. You can view all previously streamed meetings in the Archive as well.

The Agenda

The agenda guides the actions of the Board at the meeting. The President has sole authority to set the agenda. After agencies submit requests, the President approves a list of requests to be considered at the next meeting, making up the agenda, which is published at least seven days prior to the meeting. Each item on the agenda is identified by a Controlling Board number and organized by agency. Items are generally considered in their order on the agenda.

Order of Business

The following represents the typical order of business at a meeting:

Call to order

The President typically calls the meeting to order when all members are present.



Roll call of attendance

The Secretary calls the roll of the members present.



Approval of minutes of previous meeting

The President calls for a motion and a second to the motion to approve the minutes of the previous meeting. Corrections to the previous meeting's minutes are addressed at this time.



Agenda deferrals and withdrawals

The President announces any deferrals, withdrawals, or changes to items on the agenda, which are typically made at the request of the agency in the time period between when the agenda was published and the start of the meeting.



Agenda items held for questions

The President asks each member for “holds, no votes, or abstentions” A “hold” is a member’s privilege to exclude an item from the blanket approval for additional public scrutiny. A “no vote” is the member’s privilege to offer a negative vote in the early portion of the agenda review. An “abstention” is a member’s privilege to not cast a vote when a potential or actual conflict of interest arises. Requests not held for questions are approved with a “blanket” approval (i.e., in a block). However, those items that members want to hold for further questioning and a separate vote are held at the request of any member.



Items held for questions

After the blanket approval, the meeting focuses on the held agenda items. These are typically taken in order as presented on the published agenda. The President, however, may choose to take certain items out of order. Reasons for taking items out of order may include the presence of a member of the General Assembly or a statewide elected official interested in speaking to a request, or the desire to accommodate those who may have traveled long distances to speak to a request.

The Controlling Board number for each held item is read and the agency representative is asked to step forward to respond to questions. Board members are given the opportunity to ask questions. The item may be approved without objection, or the objections of members may be noted. The affirmative vote of four members is required for approval of an item. In certain circumstances, a roll-call vote on an item may be requested by one or more members.

An agency representative must be in attendance for an item to be fully considered by the Board. If an item is held and there is no in-person representation, the item will be deferred automatically.



Agenda item add-ons

Prior to consideration of the regular agenda, the Controlling Board may agree to consider additional items not included on the regular agenda at the time of publishing. These are called “late additions.”



Blanket approval of agenda items not held for questions

Once all holds are registered, a motion to approve all items not held is in order. Once moved and seconded, the motion is generally agreed to without objection. The Secretary then reads through the agenda indicating which items are approved and which have been withdrawn, deferred, or held. After this reading, there is usually a short break in the proceedings to allow those who no longer have business before the Board to leave the meeting room.



Amendments to requests

Some items are held for the purpose of making amendments to the request. Additionally, from time to time, members desire to offer amendments to items based on information revealed during the course of questioning.



Adjournment

The President adjourns the meeting at the close of all regular business before the Board.

Open Meeting Policy/Closed Sessions/Executive Sessions

In accordance with R.C. 121.22 all meetings of the Controlling Board are open meetings. This means that they are open to the public unless action described below is taken to close the meeting or to meet in executive session. The Controlling Board's rules regarding notification of meetings are governed by O.A.C. 126:1-1-01.

Closed Meetings

R.C. 121.22 (E) provides very specific circumstances under which the Controlling Board may close a meeting. Such closing pursuant to this section relates only to requests that involve the provision of assistance pursuant to Chapter 122 or Chapter 166, which involve assistance provided typically through the Department of Development.

Executive Session

R.C. 121.22 (G) speaks to the limited circumstances under which a public body may hold an executive session. An executive session may be held only after a proper motion and the affirmative roll call vote of a majority of a quorum for the sole purpose of considering any of the matters specified in division (G) of R.C. 121.22.

Meeting Minutes

The official record of the proceedings of the meeting is contained in the meeting minutes. The minutes are prepared by the Secretary after the meeting. The draft minutes are typically distributed to members and staff prior to the meeting dates along with any updates to the agenda. Minutes are considered at the next meeting.

Accommodations for requests/meetings

The Controlling Board is committed to providing access and inclusion and reasonable accommodation in its services, activities, programs, and opportunities in accordance with the Americans with Disabilities Act ("ADA") and other applicable laws.

How to Testify Before The Controlling Board

When an item or items are held for questioning, there are a few best practices and rules to follow to effectively testify and respond to questions before the Ohio Controlling Board:

- Business professional attire is required.
- If needed, bring the appropriate subject matter experts to assist in testimony or when responding to a question. Some items are complicated, and members would benefit from an expert breaking down the specifics of the item.
- In most cases, the President (Committee Chair) will identify held items in the order they appear on the published agenda. Items will be identified by their specific number on the agenda and their agency name. The Committee Chair will ask agency representatives to identify themselves and their role within the agency.
- Witnesses should address the Committee Chair first when speaking to the committee, including whether they are delivering testimony or responding to a question, as testimony and responses are always delivered through the Chair.
- Before or after testimony, please sign in on the “sign-in sheet.” This form can be found on the table near the podium.



FORM LETTER GUIDANCE

Throughout the course of a public meeting members of the Controlling Board will ask questions which require agency follow-up. This follow-up, and any required documents, are provided to the President via email for distribution to all Board members by the President. As this is a legislative committee, it is important that agencies follow a uniform and formal process for communicating information back to members. To achieve this goal, agencies will be asked to use a form letter template. The form letter should be written on agency letterhead and submitted to the President in PDF format. Any supporting documents should also be provided with this letter as PDF attachments, if possible. Here is a sample.



Mike DeWine, Governor
Jon Husted, Lt. Governor

Office of Budget and Management

Kimberly Murnieks, Director

[DATE]

Mr. W. Fletch Zimpher
President, Ohio Controlling Board
30 E. Broad Street
Columbus, OH 43125

President Zimpher,

Please see the attached documents in follow up to Rep. Smith's question at the February 14, 2022 Controlling Board meeting regarding the Office of Budget and Management's (OBM) staff vacancies. In summary, OBM has XX vacancies in XX departments, and projects to fill those vacancies in XX months.

Should any members of the Controlling Board have any additional questions, they can reach out to OBM Legislative Liaison Ben Bruns at (614) 466-2181 or Benjamin.Bruns@obm.ohio.gov.

Sincerely,

Ben Bruns
Legislative Liaison
Ohio Office of Budget and Management

ONLINE CONTROLLING BOARD PORTAL

The Controlling Board application is the online portal through which agencies submit their requests for consideration by the Board. All information necessary for a Controlling Board request is submitted via the Controlling Board application. The portal also provides the capacity for agencies to manage their own workflows to review requests, maintain agency signatures on the requests, and submit non-substantive changes.

Controlling Board application Agency Administrators have the ability to provide agency user access to the portal, and to control who prepares and approves Controlling Board requests for the agency prior to submission to the Board. As a Controlling Board application user, understanding your agency's user roles and approval paths in the Controlling Board application are essential to ensuring requests are processed in a timely manner.

The Controlling Board system can be accessed [here](#). Training modules and job aides will be available here to support new and existing users.

If you need assistance accessing or understanding the Controlling Board system, contact your Agency Administrator, OBM Budget Analyst, the Controlling Board Secretary, or the Controlling Board President.

 WELCOME

 CB PUBLIC WEBSITE

 CHECKBOOK WEBSITE



Welcome!

Welcome to the new Controlling Board application. To create or view Controlling Board Requests, click the CONTROLLING BOARD link in the header.

-  Controlling Board Manual (*update coming soon*)
-  New Controlling Board Training Materials

TIPS FROM THE CONTROLLING BOARD STAFF

Submit a professional product

Please proofread your work. These requests are a representation of your agency to not only the General Assembly, but also the general public.

Narrative Section

- The first paragraph should be a brief, one-sentence summary based on the particular type of request. This paragraph is the first information that the public views regarding the request when it is published on the agenda.
- The Controlling Board system can generate the sentence including the majority of the information, but agencies must take care to ensure that all agenda paragraphs include accurate, succinct information. Again, this paragraph should only be one or two sentences.

Explanation Section

- This is your opportunity to tell the “story” of the request. Please be succinct.
- Identify the agency role.
- Explain what the vendor will help the agency accomplish as well as the public impact of their service(s). Why will the state and the public benefit from the service provided?
- Explain the procurement process. When seeking a waiver, explain why the contract could not or should not be put out to bid.
- Do not copy and paste information from technical documents, like Request For Proposals (RFPs). These documents often include technical language and the Controlling Board request should be written for a general audience.

Use clear, easy to understand language in the narrative explanation

Members of the Board and the public are not often subject matter experts like agency staff. It is the agency responsibility to clearly explain their requests in an understandable manner, so use plain language when possible.

Release and Permit Number

Submitting a request without a release and permit number (if necessary) will prevent your request from appearing on the published agenda. If you are having difficulties obtaining a Release and Permit or will be delayed in receiving one, please reach out to the Controlling Board staff as soon as possible.

Contract Dates

The contract dates must be accurate and match the requested fiscal years.

Attaching Contracts

Make sure vendor-signed contracts are attached to requests. New and/or amended contracts should only have the vendors signature on the contract.

Communicate

Communicate with the Controlling Board staff and your Budget Analyst – we are all here to help. You should especially take care to identify when requests may be late or there is an issue with the e-Controlling Board system.

Specific Meeting Dates

Targeting a specific meeting date is the goal, but should not be the expectation. Questions come up and issues arise throughout the review process which could delay an item to a future meeting date.

Deadlines

Please try to submit timely requests. The deadlines are in place for a reason.

Late Submission

If you know a request will be submitted late, contact the Controlling Board staff as soon as possible. If a submission is late, please be prepared to explain why it needs to be on the agenda (e.g., loss of service). Forgetting a deadline or neglecting to route it through the workflow is not an acceptable reason.